


INTRODUCTION TO COMPETITION IN DIGITAL MARKETS

HOW IT WORKS?

- explains "**why competition in digital markets is different**" from what we already know from traditional markets.

DIGITAL VS TRADITIONAL MARKETS (COMPETITION)

Aspect	Traditional Markets	Digital Markets
Basis of competition	Location, price, relationships	Speed, scale, technology
Market reach	Local or regional	National or global
Growth speed	Slow and incremental	Rapid and exponential
Cost of expansion	High (shops, staff, rent)	Low (software, servers)
Number of competitors	Many can coexist	Few dominant platforms
Switching cost	Low	High (accounts, data, habits)
Data advantage	Minimal	Very high
Typical outcome	Fragmented market	Winner-takes-most

WINNER-TAKES-MOST DYNAMICS

- One platform captures most users
- Others survive only in niches
- Quality alone doesn't guarantee success
- Timing and growth matter more

Examples

- **Global:** Google Search dominates search engines
 - **Nepali:** Pathao dominates ride-hailing
 - **Social Media:** Facebook, Instagram
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INFLUENCE

- More users → more data → better service → even more users
- Switching platforms is inconvenient for users

Cause → Effect

- **Cause:** Strong network effects
- **Effect:** Market concentration and platform dominance

PLATFORM DOMINANCE

- Dominant platforms control access to markets
- They influence pricing, visibility, and rules
- Data advantage strengthens dominance
- Smaller players depend on platforms

Examples

- **Google:** Controls search visibility for businesses
 - **Facebook:** Controls digital advertising reach
 - **Daraz:** Controls seller access to online buyers in Nepal
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INFLUENCE

- Businesses must follow platform rules to survive

Cause → Effect

- **Cause:** Centralized digital platforms
- **Effect:** Reduced competition but higher efficiency

CASE STUDY – GOOGLE & FACEBOOK

- Google dominates information search
- Facebook dominates social networking
- Both rely on data and networks
- Advertising fuels revenue

Examples

- Google Ads
- Facebook targeted ads

Cause → Effect

- **Cause:** User data concentration
- **Effect:** Advertising market dominance

CASE STUDY – PATHAO IN NEPAL

- More riders → better service
- Better service → more users
- Price control during peak hours
- Entry difficult for competitors

Examples

- Ride-hailing
- Food delivery expansion

Cause → Effect

- **Cause:** Local network effects
- **Effect:** Winner-takes-most market

EFFECTS ON CONSUMERS

- Consumers benefit from convenience and lower prices initially
- Fewer choices in the long run
- Dependency on one platform increases
- Data privacy becomes a concern

Examples

- **Nepali:** Users rely heavily on Pathao for rides
- **Global:** Users rely on Google for information

INFLUENCE

- Dominant platforms optimize user experience
- Competition decreases over time

Cause → Effect

- **Cause:** Platform dominance
- **Effect:** Convenience ↑, choice ↓

EFFECTS ON STARTUPS

- Easy to enter digital markets initially
- Hard to survive after a dominant player emerges
- Marketing and user acquisition become expensive
- Startups shift to niche markets
- **Examples**
- Nepali e-commerce startups struggle against **Daraz**
- Ride-hailing competitors struggle against **Pathao**

INFLUENCE

- Network effects favor incumbents
- Users resist switching platforms

Cause → Effect

- **Cause:** Network advantages of incumbents
- **Effect:** Startup failure or pivot
- **Cause:** Winner-takes-most dynamics
- **Effect:** Fewer successful startups, more niche innovation

CASE DISCUSSION

Discussion Prompts

- Is Pathao's dominance good for Nepal?
- Should the government regulate digital platforms?
- How can Nepali startups compete smartly?

Cause → Effect

- **Cause:** Lack of regulation + strong network effects
- **Effect:** Market power concentration

KEY TAKEAWAY

- Digital competition is **unequal**
- Fast growth and network effects decide winners
- Consumers gain convenience, startups face barriers
- Nepali digital markets show clear winner-takes-most behavior